

5 SMART EXIT ROUTES

The chosen method should reflect one's financial situation and investment size. Applicables taxes and other charges should also be considered

↘ SYSTEMATIC WITHDRAWAL PLAN (SWP): An SWP lets you withdraw a fixed amount at regular intervals and is ideal for generating a regular income after retirement. You withdraw a fixed sum, while the remaining amount stays invested and compounds

↘ LUMP-SUM REDEMPTION: A good way to exit, especially if you need a big amount immediately, such as a down payment for a house

↘ PARTIAL REDEMPTION: This method helps to meet short-term liquidity needs or to rebalance existing investments without fully exiting the market. You can also partially book profits, while keeping the rest invested

↘ SWITCHING TO ANOTHER FUND VIA STP: A Systematic Transfer Plan (STP) gradually moves your investment from one scheme to another within the same fund house. This is another way to restructure investments to meet financial needs

↘ GIFTING: This is not a typical exit route, but it is a way to pass on your investments to the family. You could gift your MF units to your spouse, parents, children, or other close family members

Illustration by **SIDDHANT JUMDE**

may be willing to take on, and the more conservative you may want to be with your investments. The longer your time horizon, the more risk you may be willing to take on. This could mean investing in more aggressive funds, which may be relatively volatile compared with bonds, but also offer the potential for higher returns.

5 POOR PERFORMANCE: All funds undergo phases of weak and strong performance. A single year of underperformance is not sufficient reason to exit, as market cycles may affect even well-managed schemes. However, if your fund consistently trails its benchmark and category peers over two to three years, it is a warning sign. You should also compare the rolling returns posted by the fund you have invested in across different periods against those of peers and benchmarks. Consistent underperformance of a fund without a clear strategic reason suggests it is time to switch.

Apart from the above reasons, you may think of exiting a fund because the markets are touching new highs, prompting you to book a profit. Then, there are investors who redeem investments as a tax harvesting strategy. Ideally, it is not the best reason to exit, but it could work for some people in certain situations, wherein they could offset losses against gains elsewhere. Do make such exit decisions in consultation with a tax expert. ■

—Narayan Krishnamurthy